

Customarily, analysts measure annual company performance by looking at earnings per share (EPS). Did EPS increase over the prior year? Did the company beat expectations? Are the earnings high enough to brag about?

Buffett considers earnings per share a smoke screen. Since most companies retain a portion of their previous year's earnings as a way to increase their equity base, he sees no reason to get excited about record EPS. There is nothing spectacular about a company that increases EPS by 10 percent if, at the same time, it is growing its earning base by 10 percent. That's no different, he explains, from putting money in a savings account and letting the interest accumulate and compound. To measure a company's annual performance, Buffett prefers return on equity—the ratio of operating earnings to shareholders' equity.

To use this ratio, we need to make several adjustments. First, all marketable securities should be valued at cost and not at market value, because values in the stock market as a whole can greatly influence the returns on shareholders' equity in a particular company. For example, if the stock market rose dramatically in one year, thereby increasing the net worth of a company, a truly outstanding operating performance would be diminished when compared to a larger denominator. Conversely, falling prices reduce shareholders' equity, which means that mediocre operating results appear much better than they really are.

Second, we must also control the effects that unusual items may have on the numerator of this ratio. Buffett excludes all capital gains and losses, as well as any extraordinary items that may increase or decrease operating earnings. He is seeking to isolate the specific annual performance of a business. He wants to know how well management accomplishes its task of generating a return on operations of the business given the capital employed. That, he says, is the single best judge of management's economic performance.

Furthermore, Buffett believes that a business should achieve good returns on equity while employing little or no debt. Buffett knows that companies can increase their return on equity by increasing their debt-to-equity ratio, but he is not impressed. "Good business or investment decisions," he says, "will produce quite satisfactory results with no aid from leverage."²¹ Furthermore, highly leveraged companies are vulnerable during economic